

The Separation Cost Model Worksheet

Six cost mechanisms most deal models miss, a buyer/seller exposure map, and a worksheet to size your own transaction against real benchmarks.

BEFORE YOU START

The purchase price is negotiated once. Separation economics move every week.

Separation cost is not one number — it's a portfolio of distinct mechanisms distributed across buyer and seller, one-time and recurring, fixed and execution-dependent. A deal model that treats "separation cost" as a single contingency line is missing the fact that it's actually six separate mechanisms, each with its own driver and timeline.

THE SIX MECHANISMS

One-off separation costs	1-5% of revenue, BCG
Standalone cost uplift	Up to 200% of allocation, McKinsey
Stranded costs	20-40% of allocation, BD Emerson
Profitability drop, year 1 post-divestiture	51% of sellers, >3.3pp, Deloitte

MECHANISM 1

One-off separation costs

Legal and entity setup, IT migration, data migration, PMO and advisory fees, HR transition, facilities changes. BCG's analysis across more than fifty divestitures found these typically running **1-5% of the divested business's revenue**, exceeding **10%** for complex or large carve-outs. Smaller divestitures tend to sit at the higher end of that range, because the underlying effort is often similar in absolute terms regardless of deal size.

MECHANISM 2

TSA costs

Not just the base service charges — the step-up and extension pricing that activates if a service runs past its base term, commonly **15-25% above the base rate per month** of extension. Model a downside case for delayed exits, not just the on-schedule figure.

MECHANISM 3

Standalone cost uplift

The gap between what a service costs at the parent's scale and what it costs to run independently. McKinsey's own account of its carve-out due diligence work has observed cases where the cost of replacing centrally allocated services ran **as high as 200% of the original allocation** — a \$10M shared-services allocation that can cost up to \$20M to stand up alone.

MECHANISM 4

Stranded costs

Seller-side costs that remain after the corresponding business leaves. BD Emerson's practitioner guidance puts this at **20-40% of the cost previously allocated** to the divested business. Deloitte's research found **51% of divesting companies** saw a profitability drop greater than **3.3 percentage points** in year one — a seller-side cost that's frequently absent from buyer-focused deal models entirely.

MECHANISM 5

Dis-synergies

The economic benefit of combination that disappears on separation — lost shared procurement scale, shared logistics, shared services that neither side can fully replicate alone. Harder to quantify precisely, which is exactly why they're most likely to be assumed away rather than modelled.

MECHANISM 6

Execution slippage

The cost of the plan not holding — extra months of TSA at step-up pricing, duplicate running costs, delayed value capture. Not a fixed number: a function of how well the separation is actually executed against the timeline the other five mechanisms assumed.

Whose economics are they?

Separation cost isn't one symmetric number shared by both sides — each mechanism lands differently depending on who's exposed:

Cost Mechanism	Primary Economic Exposure
One-off separation	Buyer, seller, or negotiated between them
TSA	Buyer primarily, as the party paying for the service
Standalone uplift	The new standalone entity / buyer
Stranded costs	Seller
Dis-synergies	Both, deal-specific
Execution slippage	Both, depending on which side's delay causes it

Worksheet: size your own transaction

Not a formula — a structure to work through against your own deal, function by function:

Mechanism	Estimate	Basis / Source	Owner
One-off separation	_____	_____	_____
TSA base + extension risk	_____	_____	_____
Standalone cost uplift	_____	_____	_____
Stranded costs	_____	_____	_____
Dis-synergies	_____	_____	_____
Execution slippage (contingency)	_____	_____	_____

Illustrative example

Purely illustrative, not a claim about typical figures — a €300M-revenue carved-out business might see something like:

Item	Estimate
One-off separation	€12M
TSA base exposure	€8M
Three-month TSA slippage	+€1.5M
Standalone cost uplift (annual run rate)	+€6M
Seller stranded costs	€4M
Dis-synergies (annual impact)	€2M

The point isn't that these numbers are typical — it's that the original "€12M separation budget" was never really a €12M economic exposure. Each mechanism hits a different P&L, in a different period, owned by a different function.

Why this doesn't show up in one place

Ownership is fragmented across functions — Legal owns entity and TSA structuring, IT owns migration cost, Finance owns standalone uplift if anyone owns it explicitly at all. That fragmentation makes it easy for the consolidated exposure to become stale even when each function is genuinely tracking its own piece carefully. The deal model establishes the baseline. Execution needs a live cost model, not a static contingency line reviewed once at signing.

This worksheet reflects the same operating logic behind integration budget and cost-to-complete tracking in the MeridianCogent platform. Using it requires no software — a spreadsheet and a named owner per mechanism are enough to start.

Sources: BCG, "The 2021 M&A Report: Mastering the Art of Breaking Up" and "6 Technology Due Diligence Imperatives in Carve-outs"; McKinsey, "Solving the carve-out conundrum"; Deloitte, 2026 Global Divestiture Survey; BD Emerson, TSA and stranded cost analysis. Full sourced articles at meridiancogent.com/resources.

WHAT WE DO

The execution layer for M&A separations and integrations

A carve-out is scope, obligations, contracts, costs, systems, people and dates, all moving at once and depending on each other. MeridianCogent holds them in one place, and shows which commitments are still real.



- The perimeter register — what transfers, what is retained, and what remains disputed
- Obligations, conditions precedent and the consent register
- TSA exposure, step-up pricing, and exit-risk modelled against real dependencies
- Systems and decommission sequencing tied directly to Day 1 readiness
- A synergy ledger, integration budget and cost-to-complete tracking
- An append-only decision record — a named human behind every material number
- Programme-scoped access, built for deals that are not public yet

Built for separation offices, integration and PMI teams, corporate development running several deals at once, and the advisors and counsel working alongside them — buy-side and sell-side, corporate and sponsor.